AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B294

Financial Analysis and Decision Making

Final Examination / Version: B

2025-2026 / Spring

3 – June – 2026

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Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 3 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question 1 (30 marks)

Financial statements are reports compiled by businesses that detail the company's financial activities and health. Financial statements are often audited by government agencies and accountants to ensure accuracy and for tax, financing, or investing purposes.

Required:

A. Briefly explain the financial statement which details a company's financial position and its main aspects on which it reports. (12 Marks)

B. Explain the concept behind the Net Asset Value (NAV) and how it is calculated and interpreted. (8 Marks)

C. Briefly highlight two strengths and weaknesses of this approach. (10 Marks)

Question 2 (20 marks)

Thrustmaster Ltd are looking to invest in a new gaming console, but this time have provided you with net cash flows rather than total estimated profits. Thrustmaster's Ltd's target accounting rate of return is 8%. It has the following information available:

Cost of the machine	£125,000
Estimated useful life	5 years
Residual (disposal) value	5,000
Net cash flows (£)	
Year 1	20,000
Year 2	22,500
Year 3	43,000
Year 4	35,000
Year 5	25,500

Required:

Using the above information, calculate the accounting rate or return and comment on the results.

Question 3 (10 marks)

Hamilton Company has stocks that *pays* dividends of $3.5, which grow at an annual rate of 6%. If you knew that that required return = 14%,

Required:

A. Calculate the amount of dividends distributed in year 4.

B. What is the value of the stock now?

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Question 4 (30 marks)

Amira's Company has $400,000 to invest and wishes to evaluate the following two projects. Her strategic plans do not allow for projects that exceed a 4 year period to repay initial costs.

Years	Y ($)
0	(120,000)
1	70,000
2	30,000
3	40,000
4	(10,000)
Cost of Capital	14%

Required:

Use the information given to answer the following requirements.

- **A.** Payback Period (PP) in nominal and discounted values. (15 marks)
- **B.** Net Present Value (NPV) (2.5 marks)
- **C.** Profitability Index (PI) (2.5 marks)
- **D.** The internal rate of return (IRR) (hint: use 20% as the second discount rate). (10 marks)

  Note: Students MUST show ALL calculations and can round decimals to get whole numbers.

Question 5 (10 marks)

Dandy Fluff Inc. has an outstanding issue of $1,000-par-value bonds with a 12% coupon interest rate. The issue pays interest *annually* and has 12 years remaining to its maturity date. If bonds of similar risk are currently earning a 8% rate of return, how much should the Complex Systems bond sell for today?

END OF EXAM

Note: Students are allowed to use the formulas below to answer part(s) of this assessment.

$$\blacktriangleright\ BV_0 = \left[\frac{I}{2}\left[\frac{1-\frac{1}{(1+\frac{i}{2})^{n\,x\,2}}}{\frac{i}{2}}\right]\right] + \left[\frac{M}{(1+\frac{i}{2})^{n\,x\,2}}\right]$$

$$\blacktriangleright\ BV_0 = \left[I\left[\frac{1-\frac{1}{(1+i)^{n}}}{i}\right]\right] + \left[\frac{M}{(1+i)^{n}}\right]$$

ACCEPT